STUDY UNIT J: TAXATION OF INCOME ACCRUING TO FARMERS

INTRODUCTION



Farmers earn business income from their operations and are therefore subject to income taxes like any other taxpayers. However, due to the specialised nature of their operations, they have special provisions in terms of the Income Tax Act, which apply to the taxation of income that they earn.

Zimbabwe Revenue Authority (ZIMRA) has listed import duty and Value Added Tax (VAT) – free agricultural equipment, the goods are treated as commercial importations. Clearance is to be done through a bill of entry and a tax clearance certificate is needed in order to be exempted from payment of presumptive tax. Failure to produce such attracts a presumptive tax of 10 percent of the value for duty purposes.

COMPETENCE FRAMEWORK EXPECTATION

PROFESSIONAL COMPETENCIES

a. Ethical Behaviour
b. Critical thinking skills
c. Problem solving skills
d. Professional skills

TECHNICAL COMPETENCES

The relevant tax strategy concepts within the income tax framework to maximise tax benefits:

- Exemptions
- Deferment
- Options

CALCULATES TAXES FOR A FARMER		
COMPETENCE	REQUIREMENTS	LEVEL
1. Identifies and determines the profile of the taxpayer.	Understand taxation of farmers and special provision provisions relating to farmers. Calculation of tax payable by a farmer.	Level X

CALCULATES TAXES FOR A FARMER		
COMPETENCE	REQUIREMENTS	LEVEL
2. Applies and interprets tax affairs applied to a farmer	Plan the tax affairs of a farmer. Understand the administration of a farmer's taxes.	Level I

EXAMINATION POSSIBILITIES

Computation of Taxation for a farming businesses.

Discussion of Taxation principles (Income Tax, VAT and CGT) applied in a farming business in the hands of the farmer and in the hands of the farm workers.

Tax Planning for a farming business.

ASSUMED KNOWLEDGE

It is assumed that you understand;

- Accounting for business profits and IAS 12.
- Gross Income and exemptions
- General deductions and prohibited deductions.

INTEGRATION

Financial accounting IAS 12 and Income statements preparation.
Managerial Accounting and Finance principles

COURSE NOTES

INTERPRETATION OF TERMS

Farmer – means any person who derives income from pastoral, agricultural or other farming activities, including any person who derives income from the letting of a farm used for such purposes and "farming operations" and farming purposes" shall be construed accordingly. Defined in *Section 2*. Further interpretations of farming activities are found in the *7th schedule*.

Livestock – acquired or bred by a farmer for farming purposes or in the carrying on of his farming operations. This includes cattle, sheep, goats, pigs, crocodiles, ostriches, fowls and any other animals or birds that are raised by a farmer as livestock in the course of his farming operations. Defined in the *7th schedule*.

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Drought Stricken Area – means any area of Zimbabwe which is seriously affected by drought and which the Minister declares in a statutory Instrument to be drought stricken. Defined in the *7th schedule*.

Grazer – means livestock, which a farmer in terms of a contract with the owner of the livestock has in his possession and for which he has assumed responsibility for the grazing and management thereof. Defined in the *7th schedule*.

Water conservation work – means reservoir, weir, dam, or embankment constructed for the impounding of water. Defined in the *7th schedule*.

Fencing means:

- Any fencing erected by the taxpayer and used by him in farming operations.
- Any fencing erected by any other person and for which a farmer becomes liable in terms of the Fencing Act, which is used for farming operations. Defined in the *7th Schedule*.

Farm Trading Stock means:

- Any livestock acquired or bred by a farmer for the purposes of carrying on farming operations.
- Crops and other produce produced or partially produced by a farmer in the carrying on of farming operations. Defined in the *2nd Schedule*

Staff Housing: *4th Schedule*

- Buildings used mainly for the purposes of a trade wholly or mainly for the housing of his employees.
- It does not include any building comprising a residential unit which exceeds ZWL12,500,000 (qualifying cost). Therefore, any expenditure in excess of the specified limit per unit disqualifies the cost of the entire building.
- Staff housing does not include a beer hall forming part of a farm compound. (ITC 1511 (1992) 54 SATC 39.
- SIA can be claimed at a rate of 25% and then accelerated wear & tear per annum thereafter.
- The taxpayer can claim wear and tear in the following instances:

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- When an election to claim SIA was not done; or
- When the staff housing was acquired (i.e., not constructed by the taxpayer).

Farm Improvement: *4th Schedule*

- Building, structure or work of a permanent nature (including a water furrow) used in farming operations; includes sheds, canals, permanent roads, bridges, cattle dips.
- It includes any building used for the purposes of a school; hospital or clinic, in connection with the taxpayer's farming operations; 50% of taxpayer's employees must use clinic etc. 50% of pupils must be of employees of the farm operations.
- The capital allowances claimed on a *school, hospital or clinic are limited to a cost $5,000,000*.
- It excludes the following:
  - any dwelling used by the taxpayer as a homestead for himself and his family.
  - farm assets covered by other specific provisions e.g., staff housing, tobacco barns and *7th Schedule* assets.
  - A tobacco barn.

VALUATION OF FARM TRADING STOCK

Ordinary Livestock – A farmer must make an election in his first return between Fixed Standard Values of the livestock (fixed by the farmer with the approval of the Commissioner) and the Cost and Maintenance value of the livestock. The latter includes the cost of:

- Purchase or the cost incurred in breeding the animals, as nearly as it can be ascertained; and
- Maintaining them. This second method is rarely chosen in practice and so is almost obsolete.

Stud Livestock – A farmer may elect to adopt either the Purchase Price Value (PPV) of each animal or the Fixed Standard Value (FSV) of the livestock.

Whether the livestock is stud or ordinary, two basic rules apply:

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- The election as to method and the determination of the values are both related to "classes of livestock", chosen by the farmer, and approved by the Commissioner. The classes might be bulls, cows, heifers, etc.
- Once an election has been made and an FSV for a class has accepted the Commissioner has no unilateral powers to alter the taxpayer's method of valuation and while the farmer may alter it, he may do so only with the Commissioner's approval.

Section 8(1) (h) of the Act brings the value of trading stock into gross income. Section 15(2) (u) then permits the deduction of opening stock in the following year. Livestock is divided into "stud livestock' and 'ordinary livestock". *Where there are two valuation methods the taxpayer must make an election*.

SECTION 8(1)(H) PARAGRAPH	TYPE OR CIRCUMSTANCE	DATE OF VALUATION	ORDINARY LIVESTOCK (T/P TO ELECT)	STUD LIVESTOCK (T/P TO ELECT)	CROPS	2ND SCHEDULE PARAGRAPH
i)	Closing stock	Last day of tax year or acq. yr.	FSV CMV	PPV FSV	Fair & reasonable	12
ii)	Consumed by taxpayer or put to other use.	Date of such use	Fair & reasonable	Fair & reasonable	Fair & reasonable	13
iii)	Stock on hand on date of death, insolvency or donation	Date of such happening	FSV CMV	PPV FSV	Fair & reasonable	12
iv)	Attached by court order	End of tax year	FSV CMV	PPV FSV	Fair & reasonable	12
v)	Sold with business in pursuance of a court order	Date sold	Selling Price	Selling Price	Selling price	14

Valuation of Livestock acquired without payment.

Valuation of livestock acquired by inheritance or donations:

- If heir or donee merely sells the livestock without conducting farming operations, the proceeds are of a capital nature.
- If livestock farming is commenced or livestock is introduced into existing farming operations, a deduction is allowed. The livestock so acquired will be included as part of the livestock purchased during the year. The question then arises as to what values are these livestock included in the purchases figures since they would have been acquired for no purchase consideration.

  The livestock is therefore valued as follows:

  - to an heir (inherited livestock), the *fair market value*, for which the valuation in the estate concerned would be used.
  - to a donee, an amount not exceeding what would have been deductible in the donor's hands had he sold the livestock: this is normally the FSV of livestock.

7TH SCHEDULE ALLOWANCES

Notwithstanding anything contained in the Income Tax Act, a farmer shall be entitled to deduct any expenditure incurred by him during the year of assessment on—

- the *stumping* and *clearing* of lands;
- *works* for the prevention of soil erosion;
- the *sinking* of boreholes and wells;
- aerial and geophysical *surveys*;
- any water conservation *work* and any amounts paid by him towards the cost of any water conservation *work* done by any other person for which such farmer has become liable in terms of the Natural Resources Act [Chapter 20:13]; and
- Fencing (*see definition*).

NB!!!The key point to note is that some of the above expenditures though they maybe capital in nature, in terms of the 7th schedule they are deducted in full in the year incurred.

ASSESSMENT OF INCOME WHEN DROUGHT CONDITIONS OR EPIDEMIC DISEASE ENFORCE SALES OF LIVESTOCK: *4THSCHEDULE*.

If a farmer who raises or possesses livestock in a *drought-stricken area or an epidemic* area is driven by stress of the drought conditions or the epidemic disease, as the case may be, to dispose of his livestock during the period of the drought or the epidemic disease, he may elect to allocate the taxable income derived from the disposal of the livestock equally between the year of assessment in which he disposes of the livestock and each of the next two following years of assessment, and if he so elects he shall be assessed to tax accordingly:

- Epidemic area: means any area in Zimbabwe which is affected by an epidemic disease of livestock and which the Minister declares in a statutory instrument.
- Drought stricken area: means any area in Zimbabwe which is seriously affected by drought and which the Minister declares in a statutory instrument.

Framework for calculating taxable income from enforced sales.

	$	$
Proceeds from enforced sales		xxxx
Less:		
(a) Number of enforced sales * fixed standard value	xxxx	
(b) Livestock expenses * number of enforced sales / Average stock	xxxx	xxxx
Taxable income from enforced sales		**xxxx**

*Average stock = (opening stock + closing stock) / 2

Para 5l(i) If total income from enforced sales is greater than income derived from other farming operations the farmer can elect to roll forward the income over 3 years.

Example – Enforced Sales

A farmer sold in a drought proclaimed period all his 25 dairy cows which realised $20, 000,000. The FSV for dairy cows is ZWL600,000. The direct dairy expenses were ZWL1,500,000 while other livestock expenses were $4,000,000 per cow. Opening stock 160 head and closing stock 140 head. Calculate the relief from the enforced sales.

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Solution

	ZWL (000)
Drought sales	20,000
Less: FSV 25 cows at $600,000	(15,000)
Dairy expenses	(1,500)
Expenses 4,000,000 x 25 / 0.5(160 +140)	(667)
Taxable income from drought sales	2,833
C/F to the next period (2/3 * 2,833,000)	1,889

Restocking Allowance: 4th Schedule

- Provided on the cost of restocking a herd which has been depleted by forced sales; *the cost of purchases is allowable*.
- A further deduction of 50% of the purchase price granted as a restocking allowance.
- Restocking allowance subject to a restriction based on the assessed carrying capacity of the land (ACCL).
- Calculated by applying the following formula:

  A/2*B/C

  Where:

  A. The cost of the livestock purchased

  B. The difference between the ACCL and the livestock on hand before restocking

  C. Represents the number of livestock purchased for restocking purposes

Example: Restocking allowance

In September 2020 a farmer purchased 70 heifers for ZWL30,000 thereby restocking his herd which had been depleted by drought. The ACCL has been determined as 300.

The farmer's livestock trading account for the year ended 31st December 2022:

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Herd		ZWL000	Herd		ZWL000
350	Opening stock	700,000	100	Sales (April)	1,650,000
70	Purchases (September)	350,000	320	Closing stock	640,000
	Expenses	400,000			
	Profit	840,000			
420		2,290,000	420		2,290,000

Calculate the restocking allowance that can be claimed by the farmer.

Solution

Restocking allowance

ACCL	300
On hand prior to purchase	250
Difference which should not have been exceeded	50
Potential restocking allowance (50% * ZWL350,000,000)	175,000,000
Actual allowance (50/70 x ZWL175,000,000)	125,000,000

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END OF UNIT PRACTICE QUESTION

Susan Bizure (Susan) acquired a farm under the government sponsored Land Resettlement Scheme in 2005. The farm is in Wedza, Mashonaland East. Since Susan resettled on the farm, she has become a seasoned cattle rancher and tobacco farmer. Over the years, she has been able to grow her cattle herd, as well as expanding the hectarage for tobacco farming.

Susan has always maintained her livestock at the assessed carrying capacity of her land (ACCL), which is 300. However, in the February 2022, due to drought conditions that prevailed in the Wedza area, she was forced to dispose 40% of her livestock. The Wedza area was declared a drought-stricken area at the beginning of 2022, by the Minister of Agriculture.

Livestock Figures

1. Opening stock as at 1 January 2022, was valued at ZWL33,350,000(made up of 300 herd of cattle)
2. Closing stock as at 31 December 2022, valued at ZWL26,000,000(made up of 180 herd of cattle)

Fixed assets register as at 31 December 2022:

Asset	Year	Cost	Netbook Value
		ZWL 000	ZWL 000
Security Fence	2013	5,000	2,500
Farmhouse^	2008	150,000	140,000
Staff housing (3 units)	2019	21,000	18,500
Tractor	2020	12,000	10,800
Boreholes	2016	800	400
Deep tanks	2022	3,500	3,500
Tobacco barn	2018	16,500	13,600
School*	2019	12,000	8,900
Delivery vehicle	2014	12,000	11,500

^ Susan and her family have always occupied the farmhouse.

* 60% of pupils are children of employees of the farm.

Susan claims the maximum possible capital allowances in any given year.

Susan's income and expenditure details from her farming operations are as follows:

	Notes	ZWL 000
Income		
Drought induced sales	1	30,000
Tobacco sales		100,000
Sales to local abattoirs		50,000
Profit on sale of delivery truck	2	2,000
Expenditure		
Stock feed		1,000
Fertilisers		7,000
Tobacco seeds		3,000
Transport costs to auction floors		500
Deeping chemicals and vaccines		1,500
Livestock Purchases	3	25,000
Land clearing costs		1,200
Wages: tobacco		8,000
Wages: cattle ranch		2,500

Notes

1. In February 2022 Susan disposed 80 cows and 40 oxen due to the drought referred to above. The Fixed Standard values for cows and oxen are ZWL200 and ZWL180 respectively.
2. In March 2022, a delivery vehicle was sold for an amount of ZWL6,000,000. The vehicle had originally been purchased in 2018 for a cost price of ZWL8,000,000.
3. In November 2022, the meteorological department announced that they were expecting above average rainfall in the Wedza area. Therefore, Susan decided to restock her herd in light of the news. She purchased 50 oxen and 60 cows. At the time of the purchase, she had a total herd of 100 cattle.

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4. In December 2022, Susan inherited 20 herds of cattle from her late grandfather's deceased estate. She brought the herd of cattle to be part of her trading livestock. The valuation figures for the herd of cattle were as follows:

	ZWL 000
Market Value	6,000
Deceased estate valuation	5,400

Required

(a) Calculate the minimum taxable income and tax payable by Susan for the year ended 31 December 2022. For items which are neither taxable nor deductible indicate by the use of a zero. **[27 marks]**

Solution:

Susan

	Section	ZWL000	Marks
Drought Induced sales	Section 8	30,000	1/2
Tobacco sales	Section 8	100,000	1/2
Sales to local abattoirs	Section 8	50,000	1/2
Recoupment – W1	Sec 8 (1) (j)	6,000	2
Stock feed	Section 15	(1,000)	1/2
Livestock Opening stock	Sec 15 (2) (u)	(33,350)	1
Livestock Purchases	Section 15	(25,000)	1
Livestock closing stock	Sec 8 (1) (h)	26,000	1
Fertilisers	Section 15	(7,000)	1/2
Tobacco seeds	Section 15	(3,000)	1/2
Transport to auction floors	Section 15	(500)	1/2
Deeping chemicals and vaccines	Section 15	(1,500)	1/2
Land clearing costs	7th Schedule	(1,200)	1
Wages: tobacco	Section 15	(8,000)	1/2
Wages: cattle ranch	Section 15	(2,500)	1/2
Enforced sales relief	7th Schedule	(2,867)	4
Restocking allowance	7th Schedule	(12,500)	2
Inherited livestock – (Deceased estate valuation)		(5,400)	2
Capital Allowances:			
Farmhouse (does not qualify as staff housing therefore no capital all)			

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Staff Housing – Accelerated Wear Tear (ZWL21,000* 25%)		(5,250)	2
Tractor – Accelerated Wear and Tear (ZWL12,000*25%)		(3,000)	2
Deep Tanks – SIA (ZWL3,500*25%)		(875)	2
Tobacco Barn – Allowances exhausted		0	1
School – Accelerated Wear and Tear (ZWL10,000* 25%)		(2,500)	2
Delivery Vehicle – SIA (ZWL12,000 * 25%)		(3,000)	2
Taxable Income		91,558	
Tax @ 24.722% (ZWL91,558 * 24.72%)		**23,128**	1

Workings

W1. Enforced sales Relief – *7th schedule par 5*.

- Since Susan was forced to dispose of her livestock due to drought, she can elect to spread the taxable income accruing from the enforced over a period of three years. **1 mark**
- The relief is available to Susan since the Wedza was declared a drought area. **1 mark**

		ZWL 000	Marks
Sales		30,000	1/2
Less cost of livestock sold:	Cows (ZWL200 * 80)	(16,000)	1
	Oxen (ZWL180 *40)	(7,200)	
Less Livestock expenses	ZWL1,000+ZWL1,500+ZWL2,500)* 120/240	(2,500)	3
Taxable Income from Enforced sales		4,300	
Rollover Relief	ZWL4,300 * 2/3	2,867	2

W2. Restocking allowance – *7th schedule par 6*

- Since Susan restocked her herd after being forced to sell part of the herd due to drought conditions, she can claim a restocking allowance of 50% of the cost of livestock purchased. **1 mark**
- If after the restocking the herd exceeds the ACCL, the allowance will be restricted to livestock purchased to reach the ACCL. **1 mark**

		ZWL 000	Marks
Purchases		25,000	1/2
Restock allowance	50% * ZWL25,000	12,500	2